

COMMERCIAL LEASE AGREEMENT

THIS LEASE AGREEMENT ("Lease") is entered into as of December 1, 2019, by and between **HOUSTON MALL PROPERTIES LP**, a Texas limited partnership ("Landlord"), and **SKYLINE STORES**, a Delaware corporation ("Tenant").

RECITALS

WHEREAS, Landlord is the fee owner of that certain regional shopping center known as Cypress Mall containing approximately 750,000 square feet of gross leasable area located in Houston, Texas;

WHEREAS, Tenant operates retail supercenter stores throughout the United States under the "Skyline Stores" trade name;

WHEREAS, Tenant desires to lease from Landlord approximately 42,000 square feet of anchor space within the Shopping Center;

WHEREAS, Landlord is willing to lease such space to Tenant as a key anchor tenant under the terms set forth herein;

NOW, THEREFORE, in consideration of the mutual covenants contained herein and other good and valuable consideration, the parties agree as follows:

ARTICLE 1 - BASIC LEASE TERMS AND DEFINITIONS

1.1 Basic Lease Information

Item	Description
Landlord:	Houston Mall Properties LP
Tenant:	Skyline Stores
Guarantor:	Skyline Stores Holdings, Inc.
Premises:	42,000 square feet of GLA
Store Number:	S008
Address:	555 Cypress Avenue, Houston, TX 77002
Shopping Center:	Cypress Mall
Anchor Position:	Anchor B (former department store)
Total Center GLA:	750,000 square feet
Tenant's Pro Rata Share:	5.6% (42,000 ÷ 750,000)
Lease Term:	Ten (10) years
Commencement Date:	December 12, 2019
Rent Commencement:	March 1, 2020
Free Rent Period:	2.5 months
Expiration Date:	December 11, 2029
Security Deposit:	None (based on credit)
Broker(s):	JLL (Tenant) / CBRE (Landlord)

1.2 Base Rent Schedule

Lease Years	Annual Base Rent	Monthly Base Rent	Rate PSF/Year
Years 1-2	\$1,008,000	\$84,000	\$24.00
Years 3-4	\$1,058,400	\$88,200	\$25.20
Years 5-6	\$1,111,320	\$92,610	\$26.46
Years 7-8	\$1,166,886	\$97,241	\$27.78
Years 9-10	\$1,225,230	\$102,103	\$29.17

ARTICLE 2 - DEMISE AND TERM

2.1 Grant of Premises

Landlord hereby demises and leases to Tenant, and Tenant hereby takes and hires from Landlord, the Premises consisting of:

- 42,000 square feet on ground level

- Former Dillard's anchor space
- Direct mall entrance and exterior entrances
- Exclusive receiving dock area
- Associated rights in Common Areas

2.2 Term

Initial Term: Ten (10) years from Commencement Date **Free Rent:** December 12, 2019 through February 29, 2020 **Rent Commencement:** March 1, 2020

2.3 Renewal Options

Three (3) options of five (5) years each:

- Exercise with 12 months' prior notice
- No uncured defaults
- Rent at 95% of Fair Market Rent
- Minimum 3% annual increases
- Arbitration process for FMR disputes

2.4 Early Possession

Tenant granted access October 1, 2019 for:

- Space planning and design
- Permit applications
- Contractor bidding
- No business operations

2.5 Delivery Condition

Space delivered "as-is" in former anchor condition:

- HVAC systems operational (2015 installation)
- Electrical: 3000-amp service available
- Plumbing: Existing throughout
- Sprinklers: Full coverage
- Structure: Recently renovated
- Roof: New in 2018 with warranty

ARTICLE 3 - RENT

3.1 Base Rent

Base Rent payable per schedule in advance on the 1st without notice, demand, offset, or deduction.

3.2 Percentage Rent

None during Initial Term. If renewed, 1.5% of Gross Sales exceeding Natural Breakpoint.

3.3 Additional Rent - Operating Expenses

Base Year: 2020 (first full calendar year) **Base Amount:** \$3,150,000 for entire Center

Tenant pays Pro Rata Share of increases over Base Year for:

- Common Area Maintenance
- Management fee (4% of gross revenues)
- Security services (24/7 coverage)
- Insurance premiums
- Utilities for Common Areas
- Repairs and maintenance
- Administrative costs (5% cap)
- Reserves for replacements

3.4 Real Estate Taxes

Tax Base Year: 2020 **Base Amount:** \$2,250,000

Tenant pays Pro Rata Share of increases, including:

- Ad valorem taxes
- Special assessments
- Business improvement districts
- Any government impositions
- Exclude income taxes

3.5 Insurance Charges

Tenant's Pro Rata Share of:

- Property insurance (all-risk)

- General liability (\$10M)
- Earthquake coverage
- Flood insurance
- Terrorism coverage

3.6 Marketing Fund

\$0.30 PSF annually (\$12,600/year) for:

- Regional advertising
- Digital marketing
- Special events
- Tourism promotions
- Holiday decorations

3.7 HVAC Charges

LANDLORD maintains all HVAC serving anchors Costs included in Operating Expenses No direct HVAC charges to Tenant

3.8 Roof Maintenance Fund

\$0.10 PSF annually for roof reserves

Landlord maintains all roofs

ARTICLE 4 - USE AND OPERATIONS

4.1 Permitted Use

Exclusively for operation of a full-line Skyline Stores Supercenter including:

- General merchandise retail
- Full-service grocery
- Pharmacy with drive-through
- Vision center
- Financial services
- Online order pickup
- Seasonal garden center

4.2 Anchor Operating Covenant

Continuous Operation Required:

- Minimum 360 days/year
- 10 AM - 9 PM weekdays
- 10 AM - 10 PM Friday/Saturday
- 11 AM - 8 PM Sunday
- Extended holiday hours

Going Dark Prohibited: Remedies include:

- Continued full rent payment
- \$25,000/month penalty
- Co-tenancy rights triggered for other tenants
- Potential lease termination

4.3 Name and Trade Style

Must operate as "Skyline Stores" or include "Skyline" in any alternate name. No "outlet" designation at this location.

4.4 Exclusive Use Rights**During first 7 years:**

- No general merchandise retailer >30,000 SF
- No wholesale club
- No hypermarket format
- Grocery exclusive for >15,000 SF

Remedies for violation:

- Rent reduced to 50% until cured
- Termination right after 6 months
- Injunctive relief available

4.5 Prohibited Uses

- Adult entertainment
- Off-track betting
- Nightclub/bar primary use

- Flea market/auction
- Cannabis (unless legal and approved)

ARTICLE 5 - CONSTRUCTION AND ALTERATIONS

5.1 Initial Alterations

Landlord's Contribution: \$1,680,000 (\$40 PSF)

- Payable upon completion
- For permanent improvements only
- Covers renovation from department store

Tenant's Work: All work beyond allowance including:

- Interior build-out
- Fixtures and equipment
- Technology systems
- Signage package

5.2 Construction Requirements

- Union labor required
- Approved general contractor
- Payment/performance bonds
- Landlord approval of plans
- Daily construction meetings
- 9-month completion deadline

5.3 Ongoing Alterations

- **Non-structural <\$100,000:** Notice only
- **Structural/Major:** Prior written consent
- **Emergency:** Immediate notice after
- **MEP changes:** Engineer approval required

5.4 Restoration

Upon termination, remove:

- Non-building standard improvements
- Specialized equipment
- Signage
- Restore to vanilla condition if requested

ARTICLE 6 - REPAIRS AND MAINTENANCE

6.1 Tenant's Maintenance Obligations

Tenant maintains interior including:

- Floor coverings and finishes
- Interior walls and ceilings
- Storefront and doors
- Interior lighting and electrical
- Plumbing fixtures and lines
- All Tenant equipment
- Dock equipment

6.2 Landlord's Maintenance Obligations

Landlord maintains at its cost:

- Building structure and envelope
- Roof (warranty through 2028)
- **All HVAC systems serving anchors**
- Parking lots and Common Areas
- Exterior lighting
- Foundation and load-bearing walls
- Mall entrances to Premises

6.3 HVAC Service Details

LANDLORD'S FULL RESPONSIBILITY includes:

- Ten (10) rooftop units (40 tons each)
- Quarterly preventive maintenance
- All repairs and replacements

- Energy management system
- Maintain 68-78°F year-round
- 24/7 emergency service
- Costs in Operating Expenses

6.4 Maintenance Standards

"First-class regional mall standards" throughout. Annual inspections with punch list items.

6.5 Compliance

Each party maintains its areas in compliance with all laws, codes, ADA requirements.

ARTICLE 7 - UTILITIES AND SERVICES

7.1 Tenant's Direct Services

Separately metered and paid by Tenant:

- **Electricity:** 3000-amp service
- **Natural Gas:** For kitchen/heating
- **Water/Sewer:** Three separate meters
- **Telecommunications:** Per Tenant needs
- **Internet/Data:** Fiber available

7.2 Landlord Provided Services

Through Operating Expenses:

- Common Area utilities
- Security services (24/7)
- Parking lot lighting
- Trash removal from compactors
- Pest control for Common Areas
- Snow removal (if applicable)

7.3 Utility Interruption

- No liability beyond reasonable control
- Landlord uses best efforts to restore

- Rent abatement after 5 consecutive days
- Tenant may install backup systems

7.4 Energy Management

Participation in Landlord's energy management required:

- Automated lighting controls
- HVAC scheduling
- Peak demand management
- Monthly reporting

ARTICLE 8 - INSURANCE AND INDEMNITY

8.1 Tenant's Insurance Requirements

Coverage	Limits	Conditions
Commercial General Liability	\$5M/\$10M	Landlord additional insured
Property/Casualty	Full replacement	Special causes of loss
Business Interruption	24 months	Actual loss sustained
Commercial Auto	\$3M	All owned/hired vehicles
Workers' Compensation	Statutory	Waiver of subrogation
Umbrella/Excess	\$50M	Follow form
Professional Liability	\$5M	Including pharmacy
Cyber Liability	\$10M	First and third party

8.2 Policy Requirements

- "A" rated carriers minimum
- Primary and non-contributory
- 30-day cancellation notice
- Waiver of subrogation all policies
- Certificates before opening
- Annual renewals automatic

8.3 Landlord's Insurance

Maintains property and liability for Common Areas. Does not insure Tenant's property or operations.

8.4 Indemnification

Mutual indemnification for negligence/misconduct:

- Excludes consequential damages
- Excludes lost profits
- Defense obligation included
- Survives termination

8.5 Damage Waiver

Neither party liable for insured losses to extent of insurance required or carried (whichever greater).

ARTICLE 9 - DAMAGE, DESTRUCTION AND EMINENT DOMAIN

9.1 Casualty Damage

Scenario	Restoration Period	Rights
Premises <40% damaged	<9 months	Must restore
Premises 40-70% damaged	<12 months	Either may terminate
Premises >70% damaged	Any	Either may terminate
Mall >50% damaged	Any	Landlord may terminate
Last 3 years, >25%	>6 months	Tenant may terminate

9.2 Insurance Proceeds

- Landlord restores building shell
- Tenant restores its improvements
- Excess proceeds to Tenant
- Deductibles proportionate

9.3 Rent Abatement

Equitable abatement during restoration based on:

- Percentage unusable
- Impact on operations
- Duration of restoration

9.4 Condemnation

Taking of Premises:

- **30%:** Either party may terminate
- **<30%:** Rent adjusts, Lease continues

Taking of Mall:

- **40%:** Landlord may terminate all leases
- Material access loss: Tenant may terminate

9.5 Awards

All awards to Landlord except:

- Tenant's trade fixtures
- Moving expenses
- Business interruption
- Separate tenant award

ARTICLE 10 - ASSIGNMENT AND SUBLETTING

10.1 Consent Requirement

No Transfer without Landlord's prior written consent. As anchor tenant, consent not to be unreasonably withheld.

10.2 Permitted Transfers

No consent required for:

- Parent/subsidiary (>50% ownership)
- Corporate affiliates
- Sale of substantially all assets/stock
- Public company merger where Tenant survives

10.3 Transfer Requirements

- Assignee assumes all obligations
- Tenant remains liable
- Net worth test (\$500M minimum)
- Retail operation experience

- No change in use

10.4 Subletting

- Partial subletting permitted with consent
- Must operate as integrated store
- No separate entrances
- Consistent with Tenant's operation

10.5 Costs and Profits

- Tenant pays \$5,000 review fee
- 50/50 split of excess rent
- After Tenant's reasonable costs
- Monthly reconciliation

ARTICLE 11 - DEFAULTS AND REMEDIES

11.1 Events of Default

Monetary: 10 days after written notice **Non-monetary:** 30 days (or longer if reasonable) **Immediate:** Bankruptcy, abandonment **Chronic:** 3 monetary in 12 months **Cross-default:** Other Skyline leases with Landlord

11.2 Remedies

Landlord may:

- Terminate and sue for damages
- Terminate possession only
- Accelerate 12 months' rent
- Specific performance
- Self-help plus 15% fee
- Draw on guaranty

11.3 Tenant's Remedies

- Self-help with offset
- Specific performance
- Actual damages (no consequential)

- Termination for material breach
- Attorneys' fees if prevailing

11.4 Mitigation

Landlord must attempt to mitigate through commercially reasonable efforts. May consider impact on tenant mix.

11.5 Late Charges

5% after 5-day grace period. Interest at Prime + 4% on all overdue amounts.

ARTICLE 12 - MISCELLANEOUS PROVISIONS

12.1 Anchor Tenant Rights

As anchor, Tenant receives:

- Approval rights on mall renovations
- Consultation on remerchandising
- Prominent signage positions
- Priority parking areas
- Loading dock exclusivity

12.2 Signage Package

Building Signs:

- Four building-mounted signs
- Maximum 400 SF each
- LED channel letters

Pylon Signs:

- Top position on all pylons
- Highway visibility priority

Interior:

- Mall directories
- Directional signage
- Digital displays allowed

12.3 Parking

- 1,250 spaces minimum near Tenant
- 6:1,000 SF ratio guaranteed
- Employee parking designated
- Seasonal overflow available
- Valet prohibited near entries

12.4 Co-Tenancy

Opening: Not applicable (existing mall)

Operating Co-Tenancy: If mall occupancy <60% for 12 months:

- Rent = lesser of 50% Base or 4% sales
- Termination right after 18 months
- Excludes renovations/redevelopment

12.5 Relocation

Landlord may not relocate Tenant (anchor protection).

12.6 Environmental

- Phase I shows no issues
- Each party liable for its contamination
- Tenant may use consumer products only
- Full compliance required
- Indemnities survive termination

12.7 SNDA

Landlord obtains from existing lender (Wells Fargo) within 90 days. Commercially reasonable form.

12.8 Estoppel Certificates

Within 10 business days of request. Failure to respond = deemed accurate.

12.9 Financial Reporting

- Annual: Within 120 days
- Sales: Monthly by 20th

- Confidential treatment
- Electronic submission

12.10 Force Majeure

Excuses non-monetary performance for:

- Natural disasters
- War/terrorism
- Pandemic/epidemic
- Government orders
- Labor strikes
- Utility failures

12.11 Sustainability

- LEED compliance where applicable
- Recycling program participation
- Energy conservation measures
- Green cleaning products
- EV charging stations support

12.12 Notices

To Landlord: Houston Mall Properties LP 1000 Louisiana Street, Suite 5800 Houston, TX 77002 Attn: General Counsel Email: legal@houstonmall.com

To Tenant: Skyline Stores 500 Commerce Drive Dallas, TX 75201 Attn: Real Estate Legal Email: realestatelegal@skylinestores.com

12.13 Applicable Law

Texas law governs. Venue in Harris County. Jury trial mutually waived.

12.14 Entire Agreement

Complete agreement. No oral modifications. Supersedes all prior negotiations.

12.15 Guaranty

Full and unconditional by Parent (**Exhibit G**).

SIGNATURES

IN WITNESS WHEREOF, the parties execute this Lease as of December 1, 2019.

LANDLORD: HOUSTON MALL PROPERTIES LP By: Houston Mall GP, LLC, its General Partner

By: _____

Name: Jonathan Pierce

Title: Chief Executive Officer

Date: December 1, 2019

TENANT: SKYLINE STORES

By: _____

Name: Rebecca Martinez

Title: President - Real Estate Division

Date: December 1, 2019

GUARANTOR ACKNOWLEDGMENT: SKYLINE STORES HOLDINGS, INC.

By: _____

Name: Thomas Chen

Title: Chief Legal Officer

Date: December 1, 2019

EXHIBITS LIST

Exhibit A - Premises Floor Plan and Location **Exhibit B** - Shopping Center Site Plan

Exhibit C - Delivery Condition Specifications **Exhibit D** - Tenant's Preliminary Plans **Exhibit E** - Signage

Plans and Criteria **Exhibit F** - Construction Rules and Regulations **Exhibit G** - Form of Guaranty **Exhibit H**

- Form of Estoppel Certificate **Exhibit I** - Exclusive Use Areas Map **Exhibit J** - Parking and Loading Areas

Exhibit K - HVAC Equipment Schedule **Exhibit L** - Mall Rules and Regulations **Exhibit M** - Environmental

Reports Summary **Exhibit N** - Anchor Tenant Provisions